IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 20/BB/2018
Under Section 230 to 232 of the Companies Act, 2013

Coram: Hon'ble Shri Rajeshwara Rao Vittanala, Member (Judicial)

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
DEMANDSENSING SOFTWARE PRIVATE LIMITED
(FIRST TRANSFEROR COMPANY)
AND
ORCHESTRO INDIA PRIVATE LIMITED
(SECOND TRANSFEROR COMPANY)
AND
E2OPEN SOFTWARE INDIA PRIVATE LIMITD
(TRANSFEREE COMPANY)

E2Open Software India Private Limited,
Prestige Emerald,
Municipal Door No.4/1-1, Madras Bank Road,
Corporation Division 61,
Bangalore,
Karnataka-560 001.
Represented by its Director
Shri Pranav V. Mundi. - Applicant/Transferee Company

With

1. **M/s. Demandsensing Software Private Limited,**
   Prestige Emerald,
   Municipal Door No.4/1-1, Madras Bank Road,
   Corporation Division 61,
   Bangalore,
   Karnataka -560001.
   Represented by its Director
   Shri Hitesh Trivedi - Applicant / Transferor Company No.1

2. **M/s. Orchestro India Private Limited,**
   Prestige Emerald,
   Municipal Door No.4/1-1, Madras Bank Road,
   Corporation Division 61,
   Bangalore,
   Karnataka -560001.
   Represented by its Director
   Shri Hitesh Trivedi Applicant / Transferor Company No.2

Order delivered on: 9th May, 2018

Per: **Rajeswara Rao Vittanala, Member (Judicial)**

Counsel for the Applicants : Mr. Nygil Kuriokose, PCS,

O R D E R

1. The Company Application bearing CA No.CAA) No.20/BB/2018, is filed ,under Sections 230-232 and other applicable provisions of the Companies Act, 2013 & The Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, by inter-alia, seeking to:

(i) dispense with the requirement of convening of the Equity Shareholders Transferee Company and also to dispense with the requirement of issue and publication of notices for the same;

(ii) Dispense with the requirement for convening the meeting of the Secured and Unsecured Creditors and members of any class thereof of the Transferee Company including the requirement of issue and publication of notices for the same;

(iii) Issue direction for permitting the filing of application, petition and other documents as may be required, for the purpose of sanctioning the proposed Scheme of Amalgamation between the Transferee Company and their respective Shareholders and Creditors.

2. The brief facts, as mentioned in the application, which are relevant are as follows:

a. **E2OPEN SOFTWARE INDIA PRIVATE LIMITED** (formerly known as Serus Software Development India Private Limited) (hereinafter referred to as Transferee Company / Petitioner Company) is a Private Limited Company incorporated on 06/11/2013 under the Companies Act, 2013, in the State of Karnataka, vide its Corporate Identity Number U72200KA2013FTC071699 having its present registered office at Prestige Emerald Municipal Door No.4/1-1, Madras Bank Road, Corporation. Division 61 Bangalore Karnataka 560 001 India. Further, the Permanent Account Number (PAN) of Transferee Company is **AATCS8417K**. Represented by **Shri. Pranav Vinay Mundi.**

b. The authorized share capital of the Transferee Company as on 31st March 2017 is Rs. 5,00,000/- (Rupees Five Lakh Only), divided into 5,00,000 (Five Lakh) equity shares of Re. 1/- (Rupee One only) each. The total paid up share capital as on 31st March, 2017 is Rs. 1,00,000/- (Rupees One Lakh Only), divided into 1,00,000 (One Lakh) equity shares of Re. 1/- (Rupee One only) each. The Transferee Company is a Private Limited Company.

3. The main objects, in brief , of the Transferee Company, as set out in its Memorandum of Association are as follows:

(i) To design, develop, improve, manufacture market, distribute, sell, license, lease, install, alter, import, export, or otherwise deal in or with all software, hardware and programs of any and all kinds and description, including, but not limited to those used in, for or in connection with electronic data processing equipment, products and services.

ii) To carry on the business of consultants, trading, manufacturing, importing, exporting, agents and distributors of systems study, analysis, design, development and implementation of software systems for usage computer systems, communication systems or combination of the computer and communication systems and hardware of computer systems, communication systems and providing consultancy related to commercial and non-commercial usage, engineering goods, electronics equipment and instruments electrical goods and equipment and computers supply of manpower for supporting software supplied to various commercial and non-commercial users, etc.

4. The accounts of the Transferee Company have been audited as on 31st March, 2017. A copy of the said audited Balance Sheet, the related Profit and Loss Account and the Auditor's Report, and Provisional financials from 1st of April, 2017 till 15th March, 2018 (01/04/2017 till 15/03/2018), and audited Balance Sheet, the related Profit and Loss Account and the Auditor's Report thereon from 1st of April, 2016 till 30th November, 2016 (01/04/2016 till 30/11/2016) are enclosed to the application. The following summary extracted from the said accounts indicates the financial position of the Transferee Company as follows:

i) The Transferee Company had neither issued nor agreed to issue any debentures.

ii) That the Transferee Company has the following liabilities as on provisional financials date 15th March, 2018 :-

Particulars	Amount in Rupees.
Long term and short-term borrowings	
Secured and Unsecured	NIL
Current Liabilities	
Statutory Dues payables	21,49,002
Employee benefit payable	2,25,18,481
Trade payables	3,21,21,843
Short term provisions	1,13,40,970
Total	**6,81,30,296**

Subsequent to the date of the aforesaid audited accounts, there has been no other substantial change in the financial position of the Transferee Company excepting those arising or resulting from the usual course of business.

5. A brief description of the respective First Transferor and Second Transferor Company with details of their registered office, share capital / structure, date of incorporation and the main objects of the Company is as under.

a. The **First Transferor Company** namely, **Demandsensing Software Private Limited** was incorporated in the state of Karnataka on 31/07/2014 with registration number of the company is 075599 having registered office at Prestige Emerald Municipal Door No.4/1-1, Madras Bank Road, Corporation. Division 61 Bangalore, Karnataka 560001, India and the Corporate Identity Number presently is U72200KA2014FTC075599.

b. The authorized share capital of the First Transferor Company as on 31st March 2017 is Rs. Rs. 100,000/- (Rupees One Lakh only) divided in to 10,000 (Ten Thousand) Equity shares of Rs.10/- (Rupees Ten only) each. The total paid up share capital as on 31st March, 2017 is Rs. 1,00,000/- (Rupees One Lakh only) divided in to 10,000 (Ten Thousand) Equity shares of Rs.10/- (Rupees Ten only) each.

c. The main objects of the First Transferor Company are set out in its Memorandum of Association as follows:

i) To carry on in India or elsewhere the business to establish, develop, set, arrange, undertake, manage, promote, organize, design, conduct, control, personalize, systemize, provide, install, maintain, modify, lease, sell, buy, and run the business of information technology & software services and software center and to develop and run software, web sites, information centers and other allied activities including electronic data processing centers and lease and sell data center services for the purpose of running data processing applications and customer support related to data processing services to facilitate data processing applications and mechanical design and Business Process Outsourcing related Information Technology, Embedded systems, Industrial Information Technology, Internet applications, things necessary for the attainment of the foregoing objects.

ii) To carry on in India or elsewhere all or any of the businesses of designing of Software Products and developing, using, making, marketing, maintaining, installing, setting up, running, maintaining, updating, hiring, letting on hire, repairing, importing, exporting or otherwise dealing with all software products in the business intelligence, business analytics, knowledge process outsourcing fields in the telecom and process industries, medical analytics, Manufacturing, Trade, Banking, Insurance and Financial Services areas and Transportation, Power, Telecommunication, Educational, Medicine and Agriculture and to provide a wide range of computers and communication products and services, hardware integrated solutions for Computer, networking and software development.

iii) To carry on the business of Web Hosting and development, school management system, internet serve provider, web marketing companies E- Commerce solutions, business application software and multi-module spare parts, telecom products, networking products and other allied items and products or assemblies derived there from and to conduct, sponsor participate in training programs, courses, programming contests, seminars and conferences in respect of the objects of the Company.

b) The details of Second **Transferor Company** namely, **Orchestro India Private Limited are as follows:**

i) It was incorporated in the state of Maharashtra, under the jurisdiction of the Registrar of Companies, Pune on 26/05/2015 with registration number of the company is 155178 having registered office at Shangrila Garden, 3rd Floor, S No.326/2A,, Bund Garden, Pune - 411001, Maharashtra, India, vide its Corporate Identity Number U72200PN2015FTC155178.

Further, the Company at its Extra ordinary meeting held on 19th December 2017 made an application to the Regional Director, Western Region, Mumbai for shifting the registered office from Pune, in the state of Maharashtra to State of Karnataka and received the approval Order vide RD/UDC/SEC.13/215/01/2018/9047 dated 14th February 2018 vide its Corporate Identity Number U72200KA2015FTC111137 having registered office at Prestige Emerald Municipal Door No.4/1-1,Madras Bank road, Corporation. Division 61, Bangalore 560001, Karnataka, India. The Company has shifted the registered office from Pune, in the state of Maharashtra to Bangalore, in the state of Karnataka on 14th March 2018).

ii) The authorised share capital of the Second Transferor Company as on 31st March 2017 is Rs. 2,00,000/- (Rupees Two Lakhs Only), divided into 10,000 (Ten Thousand) equity shares of Rs. 20/- (Rupees Twenty only) each. The total paid up share capital as on 31st March, 2017 is Rs. 2,00,000/- (Rupees Two Lakhs Only), divided into 10,000 (Ten Thousand) equity shares of Rs. 20/- (Rupees Twenty only) each.

iii) The main objects of the Second Transferor Company are set out in its Memorandum of Association and inter alia, as follows:

i) To carry on the business of software development in the bid data analytics space. Design, develop, enhance and deploy software for demand analytics to the consumer packaged goods industry. Provide technology and professional services to the customers to better manage retail execution and reduce lost sales opportunity. Provide managed services and technical support in enhanced use of the software and its capabilities.

ii) To undertake the designing and development of application software either for its own use or for sale in India or for export outside India and to design and develop such systems and application software for or on behalf of clients in the consumer packaged goods industry, users of big data for the purpose of insights and demand analytics in India or elsewhere in the world.

6. The object of this application is to ultimately obtain sanction of this Hon'ble Tribunal to a Scheme of Amalgamation of Demandsensing Software Private Limited (First Transferor Company/Petitioner) and Orchestro India Private Limited (Second Transferor Company) with E2Open Software India Private Limited (hereinafter referred to as the Transferee Company) whereby the business, assets, properties, rights, IP rights, patents, privileges and debts, liabilities, duties and obligations, as the case may be of the First Transferor Company and Second Transferor Company and all the properties, rights and claims whatsoever together with all rights and obligations relating thereto is to be transferred to and vested in the Transferee Company on the terms and conditions fully stated in the said Scheme of Amalgamation. Upon the Scheme of Amalgamation being approved, the authorized Capital of the First Transferor Company and Second Transferor Company may be merged with the Capital of the Transferee Company.

7. The Board of Directors of the Transferee Company at its meeting held on 14th March, 2018 passed unanimously a resolution and approved the said Scheme of Amalgamation by virtue of which the First Transferor Company and Second Transferor Company is proposed to be amalgamated with the Transferee Company.. The Directors of the Transferee

Company are considered interested in the said Scheme of Amalgamation as they are only the directors of the First and Second Transferor Company. The aggregate assets of the First Transferor Company, Second Transferor Company and the Transferee Company are more than sufficient to meet all their liabilities and the said Scheme will not adversely affect the rights of any of the creditors of the First Transferor Company or Second Transferor Company or the Transferee Company in any manner whatsoever and due provisions have been made for payment of all liabilities as and when the same fall due in usual course. The **list of creditors** of the Transferee Company/ Petitioner as on 15th March, 2018 are collectively produced. The Creditors of the Transferee Company/ Petitioner is concerned, it is necessary that meeting of secured/unsecured creditors of the Transferee Company be dispensed with since **No Objection** by way of affidavit for the proposed scheme of amalgamation had been received from all the secured/unsecured creditors having more than ninety percent value of the total outstanding liability and the same are collectively filed with the application.

8. The latest Audited Balance Sheet of the First Transferor Company as on 31st March 2017, the latest Audited Balance Sheet of the Second Transferor Company as on 31st March 2017 are filed with the application. There are no proceedings relating to the investigations pending under Section 210 to 227 of Companies Act, 2013, against the either First Transferor Company or Second Transferor Company or Transferee Company. No petition under Section 241 or 242 of the Companies Act, 2013, has been filed against the Transferee Company/ Petitioner Company and there has been no material change in the affairs of the Transferee Company/ Petitioner Company, except for what was done in the normal course of business. The proposed Scheme of Amalgamation is not within the purview of the Monopolies and Restrictive Trade Practices Act, 1969 and/or Competition Act 2002.

9. Share Exchange Ratio for the amalgamation is as follows:

The shareholders of the First Transferor Company shall get 3.2350 (Three point two three five zero) equity share of Re.1/- (Rupee One) in the Transferee company in lieu of every 1 (one) equity share of Rs. 10/- (Rupees Ten) each fully paid. In all the shareholders of First Transferor Company shall get 32350 equity shares of Re.1/- (Rupee One) each of Transferee Company. The shareholders of the Second Transferor Company shall get 6.2389 (Six point two three eight nine) equity share of Re.1/- (Rupee One) in the Transferee company in lieu of every 1 (one) equity share of Rs. 20/- (Rupees Twenty) each fully paid. In all the shareholders of Second Transferor Company shall get 62,389 equity shares of Re.1/- (Rupee One) each of Transferee Company. It is stated that this application is made bonafide and is in the interest of justice. It is also stated that no one will be prejudiced if any order is made and/or directions are given as prayed for.

10. It is stated that a similar petition is being filed by the First Transferor Company and Second Transferor Company under Section 230 to 232 of the Companies Act, 2013, for obtaining the sanction to the Scheme of Amalgamation before this Hon'ble Tribunal. The proposed merger is sought to be made under the provisions of Sections 230 to 232 of the Companies Act, 2013.

11. Heard Shri Nygil Kuriokose, the learned PCS for the Applicant and have carefully perused the pleadings and all the documents filed in support of the application.

12. The learned counsel for the petitioner, while reiterating the averments made in the application along with the documents, has further submitted that there are only two shareholders and their shareholding pattern of the Transferee Company as on 31st March, 2018 is as follows:

Sl. No.	Name and address of the Shareholder	No. of shares (face value at Rs.10/- each)	% (Percentage of total shares of the Company
1.	M/s. Serus Corporation, 5201, Great America, Parkway, Suit 422, Santa Calra CA, USA 95054.	99.999	99.99
2.	Pranav Vinay Mundi (Holding share as nominee of M/s. Serus Corporation USA), 16, Salil SOC Chintamani Nagar, P.O. Sahakarnagar 2, Pune, Maharashtra, India 411 109.	1	0.01
	Total	100,000	100

A certificate dated 26th March, 2018, issued by M/s. Shobha & Co., Chartered Accountants, on verification of records and registers, confirming the shareholding pattern of the Transferee Company and the certificate is filed along with the application. They have also placed an affidavit dated 26th March, 2018, by Shri Pranav Vinay Mundi, the 1 (one) percent Equity Shareholder of the Transferee Company, by inter-alia finishing unconditional consent and No Objection to the proposed Scheme of Amalgamation. Similarly, M/s. Serus Corporation, USA, the 999.99% Equity Shareholder of the Transferee Company, has also given an unconditional consent and No Objection to the proposed Scheme of Amalgamation of the Transferee Company with the First and Second Transferor Companies. Therefore, the learned counsel submits that the Tribunal may consider to pass an order dispensing with the convening of the meeting of shareholders of the Transferee Company and also for dispensing with the publication in the newspapers.

13. The documents filed along with the Company application shows that the Company has disclosed all the material facts relating to the company such as the latest financial statements of the Company and the latest balance sheet, etc. and also declared that there are no investigations or proceedings against the company and appropriate meeting was also

conducted wherein an unanimous decision was taken to approve the scheme of amalgamation subject to final approval by this Tribunal. As state by the learned counsel for the applicant, there are only two shareholders, viz. Shri Pranav Vinay Mundi and M/s. Serus Corporation, USA, and both the parties have no objection for the proposed scheme of amalgamation. Therefore, there will be no purpose served by ordering to convene the meeting of the shareholders of the Company, Hence, the Company application deserves to be disposed of by dispensing with the convening of the meeting of the Shareholders and secured and un-secured Creditors of the Transferee Company.

14, In the result, by exercising powers conferred on the Tribunal, U/s 230-232 of the Companies Act, 2013, the Company Application bearing CA(CAA) No.20/BB/2018 is disposed of with the following directions:

1) Hereby dispensed with the convening of the meeting of the Equity Shareholders of the Transferee Company and also dispensed with requirement of issue and publication of notices for the same;
2) Hereby dispensed with convening of the meeting of Secured and un-secured creditors and members or any class thereof the transferee Company including the requirement of issue and publication of notices for the same.
3) This order, would not preclude any party , who is aggrieved by the order, to approach the Tribunal to file an Interim Application seeking appropriate directions.

(RAJESHWARA RAO VITTANALA)
MEMBER (JUDICIAL)

psp.